1. As per various estimates, only 20 per cent of the insurable Indian population is life-insured; the share of India in global life insurance is just 0.66 per cent; and life insurance penetration is at present 2.53 per cent (2004) in the country.[10]

   The message of life insurance needs to be publicised among the population, specially in the rural areas. Moreover, social security schemes should be expanded to cover the poor masses who lack the premium-paying capacity.

2. Experts suggest that health insurance could emerge among the most important factors of improving human development in the country if expanded in a focussed way and via an ***action plan.*** It is estimated that around 15 per cent of the Indian population is covered under some form of pre-payment on healthcare which includes employees and beneficiaries covered under ESIS, CGHS, Armed forces, Central Police organisations, Railways, employer self-funded schemes, the PSUs and pensions covered under health insurance.[11] The health insurance penetration is at present at 1.536 per cent only (2005–06). Besides the LIC, the private players should be promoted to enter the foray, specially in the rural areas.

3. After the general insurance industry was opened up (2000) for the private sector participation, the experience has been positive[12]. Its growth compares favourably with that of many other emerging markets and is in line with global benchmark of two to three times the growth in GDP[13]. As the economy is on a strong growth path and the capital expenditure planned across industries is estimated to be over ` 9,00,000 crore over the next four to five years, a better scope for the general insurance expansion is probable[14]. The growth in both commercial and personal lines of general insurance business reflects positive trends. Over 70 per cent of India's population lives in rural areas and along with organised financial services, general insurance companies are also expanding into these sectors.

4. People in their lives experience financial difficulties that can affect the entire family negatively, this is more true about the poor masses in India.